Resumed US-Canada talks aim to bolster vulnerable Republicans

送信者: EG US Daily 受信日時: 2026-10-28 01:26

【メール原文】

Resumed US-Canada talks aim to bolster vulnerable Republicans. The US and Canada have reportedly returned to the negotiating table on a trade deal, th

US Daily
Customize Email Preferences

Resumed US-Canada talks aim to bolster vulnerable Republicans

27 Oct 2026 12:23 EDT Discover more on the Portal

*
Resumed US-Canada talks aim to bolster vulnerable Republicans
*
Don’t count Collins out in Maine
*
Flavio-Trump partnership past peak, but Jair will stay in Trump's Rolodex

Resumed US-Canada talks aim to bolster vulnerable Republicans. The US and Canada have reportedly returned to the negotiating table on a trade deal, the first positive progress since negotiations collapsed in late August.

*
The floated deal appears similar to what was on the table in late August, with the US providing relief on sectoral tariffs on steel and autos. Canadian trade retaliation, such as provincial bans on US alcohol, would likely come off. The US would drop its 50% Section 338 tariffs, as well as its threat of implementing 50% tariffs on autos on 1 January 2027.
*
The renewal of talks after being stalled for most of the last two months is likely linked to the midterm elections; Trump is eager to deliver a nominal win to embattled Republican candidates in states more exposed to Canadian trade, like Maine and Michigan.
*
The most positive indication that a deal could come together is reporting that Commerce Secretary Howard Lutnick has been in regular communication with Canadian Minister for Canada-US Trade Dominic Leblanc. Lutnick played an instrumental role in blowing up the August negotiations; if he’s involved in this round of negotiations from the outset, that suggests they have his political buy-in.
*
The crucial question, though, is whether the US can offer Canadian Prime Minister Mark Carney better terms than he rejected in August. This would likely require at least that the US add heavy trucks to the list of sectoral tariffs to be reduced, a key sticking point previously. If the US can’t offer that concession, the political cost to Carney will likely be too high and Ontario Premier Doug Ford would be unlikely to support a deal.

Don’t count Collins out in Maine. Democrat Troy Jackson holds the slimmest of leads over Senator Susan Collins (R-ME): The last six polls of the race have featured either a tie or a two-point Jackson lead.

*

This is an extremely close race, and on this polling, Collins still stands a fighting chance on election day. The televised debates don’t appear to have moved the race at all, and Collins’s historical qualities as a candidate—particularly her ability to win over wide swathes of Democratic voters who like her bipartisan brand—appear unalloyed.

*

Collins is actually in a much better polling position than she was in her 2020 re-election campaign, when she trailed the Democratic candidate a wider margin in final-month polling. Collins ended up winning that race by over eight points, one of the largest polling misses in competitive Senate races in recent history.

*

Maine has changed substantially since 2020, particularly with an influx of younger, more liberal residents to the Portland area, but the memory of that polling miss means that the 2026 race is still a toss-up even with Jackson’s small polling lead. The good news for Democrats is that they have enough shots on goal elsewhere in the country—Ohio, Texas, Alaska, Iowa, perhaps even Kansas—to make a Maine win no longer an absolute necessity for a Senate majority.

Flavio-Trump partnership past peak, but Jair will stay in Trump's rolodex. Lula's surprise victory in the Brazilian elections on 25 October was a stinging defeat for Flavio Bolsonaro. President Trump has vocally supported Flavio and his father, Jair, in their political careers, but this week's election results mark a major break in Trump's gambit.

*

Trump’s embrace of Flavio was transactional from the start – on the back of tariffs intended to give the US leverage under Lula’s leadership, a Flavio victory would’ve likely secured deals on critical minerals, integration into the Shield of the Americas program, and other hemispheric counter-China initiatives that Trump desires.

*

After Flavio’s defeat, we expect Trump will, begrudgingly, turn to do business with Lula. The strategic imperatives driving Washington’s engagement will not go away under Lula, but they will become harder to satisfy. Brazil and the US will continue to engage transactionally, with both sides realizing that, despite the political misalignment between Trump and Lula, an outright rupture in relations will not serve either side. However, existing political tensions and will limit cooperation

*

Jair Bolsonaro will remain a symbolic asset for Trump, who has framed him as a fellow persecuted leader fighting against a corrupt state. However, Jair has no practical utility to Trump: he is serving a 27-year sentence and his family has lost consecutive elections. Jair will stay in Trump’s rolodex and may retain some rhetorical goodwill but the marriage of convenience between the two is likely on a downslope.

Quote of the Day

“Rarely, if ever, has the United States Department of Justice urged a federal court not to believe the sitting President, and yet, here we are.” - Judge Ana Reyes, in her written opinion blocking further tree felling and potential closures at the East Potomac Golf Links. The ongoing East Potomac standoff is a

microcosm of President Trump's larger conflict with the judicial branch and acts as a helpful signpost for future, unrelated challenges to the legal system. For more, please see Democrats would use majority to push AI guardrails , 20 October 2026.

On the Radar

30-31 October: G20 Foreign Ministers' meeting

3 November: National midterm elections

9 November: Congress returns from recess

18-19 November: APEC leaders meeting in China

11 December: Government funding runs out

14-15 December: G20 summit in Florida

10 January: US-China tariff truce expires

Clayton Allen
Practice Head, United States
+1 202.903.0027
allen@eurasiagroup.net
Noah Daponte-Smith
Senior Analyst, United States
daponte-smith@eurasiagroup.net
Kendal Walker
Senior Analyst, United States
walker@eurasiagroup.net
Jason Walter
Researcher, United States
walter@eurasiagroup.net
EG US Daily
unitedstates@eurasiagroup.net
© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.
X-HG-DocID cmvqvtx2ocumf07myzu4p02lg

Opt Out | Customize Email Preferences